

percent allocation of bitcoin would have been less volatile, while improving compound annual returns by 0.6 percent, ultimately yielding a Sharpe ratio 14 percent better. Operating in the wild, innovative investors would have experienced the joy of a golden asset that both decreased volatility *and* increased returns when added to their portfolio, providing a double boost to the Sharpe ratio.

Two-Year Holding Period (January 2015 to January 2017)		
Metric	Base Case	1% Equity → Bitcoin
Weekly Volatility	1.24%	1.22%
Sharpe Ratio	0.54	0.61
Compound Annual Returns	4.7%	5.3%

Figure 7.23 ■ Comparative performance of a two-year portfolio with and without a 1 percent allocation of Bitcoin

Data sourced from Bloomberg and CoinDesk

In the previous chapter, we explored the necessary use of tools such as modern portfolio theory and asset allocation to build an effective investment portfolio and to identify appropriate and compelling investment options for the innovative investor. In this chapter, we've looked through the lens of modern portfolio theory at bitcoin as an investment over time. The next chapters will address the broad characteristics of bitcoin and its digital siblings as an entirely new asset class with which the capital markets must reckon.